

painters arriving reminded them of the charge of the light brigade.

In June 1989 there's a cutback at Mary's company. The company offers four months' severance pay for people with Mary's seniority. She takes it, and the Does are retired. They begin to sell their cars and other household assets that can bring in cash. In this example we assume they sell half of their "other assets."

Beginning in 1990 John and Mary sell their stocks and bonds and buy one-year bank CDs. In March 1990, the Does file their 1989 tax return. They defer the tax on the gain on the sale of their house. That gives them until 1991 to change their minds and buy another house. They buy a two-year CD for \$35,000 to cover the tax bill two years hence.

By early 1990 John and Mary have converted their assets to cash. How much will they have paid in taxes? What will be their net worth?

Income and related income taxes are as follows. ("Earned income" is net of payroll taxes, including Social Security taxes, and taxes on income used to pay those payroll taxes.)

	1988	1989	1990	1991
Earned income	\$150,000	50,000		
Gain on home		99,000		
Gain on stock			50,000	
Interest	14,000	20,000	35,000	45,000
Total	164,000	169,000	85,000	45,000
Tax due	\$ 53,000	21,000	22,000	50,000

Total tax over the period is \$146,000. Tax on the gain on sale of the home is \$34,000. John and Mary pay it in 1991 by amending their 1989 return and adding \$6,000 interest.

John and Mary's cash flow from 1988 to 1991 is: